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AIB AXYS AFRICA

Weekly Global Markets Note

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• Global Markets Commentary

- Stocks closed lower on Friday as investors continued to offload positions in technology-related counters amid rising concerns over the substantial capital expenditure required for AI infrastructure development.
- Notably, Micron, a key player in the AI ecosystem, reported a strong third-quarter performance, with revenue more than tripling to USD 42.0 Bn from USD 9.0 Bn a year earlier, driven by robust demand for AI memory solutions used in AI infrastructure buildouts. The results pushed the stock 15.0% higher on Thursday and briefly lifted market sentiment, with the Nasdaq 100 gaining 0.75% during the session before surrendering those gains on Friday, when it declined 1.1%.
- Newly listed SpaceX returned to the capital markets with a debt issuance targeting USD 25.0 Bn. However, investor demand significantly exceeded expectations, with the company receiving more than USD 90.0 Bn. The issuance comprises five tranches maturing between 2031 and 2056. The company intends to use the proceeds to refinance outstanding borrowings, while the issuance is also expected to strengthen its liquidity position.
- Oil prices continued to decline during the week as it became increasingly evident that vessels were once again navigating through the Strait of Hormuz, easing concerns over disruptions to global oil supply. During the week, WTI and Brent crude prices fell 9.5% and 9.3%, respectively. The decline in oil prices has helped reduce pressure on global inflation expectations.
- On the data front, the US Personal Consumption Expenditures (PCE) Price Index for May rose to 4.1% from 3.8% in April. On a monthly basis, PCE increased by 0.4%, below the consensus estimate of 0.5%. Core PCE inflation rose by 0.3% m/m, up from 0.2% recorded in April.

• Select Global Market Indices

Indices	Current	Previous	w/w % change
S & P 500	7,354	7,501	▼ (2.0%)
DAX	24,671	24,986	▼ (1.3%)
Nikkei 225	69,361	71,250	▼ (2.7%)
Hang Seng	22,672	23,925	▼ (5.2%)
FTSE 100 (FTSE)	10,508	10,363	▲ 1.4%
Dow Jones	51,876	51,565	▲ 0.6%
Median			**▼ (1.6%)**

Source: Investing.com AIB AXYS Research

- Four out of the six major global equity indices that we track closed lower during the week. In the US, the S&P 500 shed 2.0% w/w, while the Dow Jones Industrial Average posted modest gains of 0.6%. Sell-offs in technology stocks intensified throughout the week, dragging the Nasdaq 100 down by 4.2% w/w.
- In Europe, Germany's DAX declined 1.3% w/w, weighed down by sell-offs in the technology sector as investors continued to question the sustainability of the AI-driven rally and the substantial capital requirements associated with AI infrastructure. In contrast, the FTSE 100 bucked the broader market trend, closing 1.4% higher during the week.
- In Asia, the Nikkei 225 and Hang Seng Index fell 2.7% and 5.2% w/w, respectively, as technology stocks came under pressure amid broad-based selling across the sector.

• Fixed Income:

Bond	Current	Previous	w/w change
US 10 Yr Bond	4.37%	4.49%	▼ (11.6bps)
UK 10 Yr Gilt	4.74%	4.85%	▼ (10.9bps)
Germany 10 Yr Bund	2.85%	2.98%	▼ (13.6bps)
Japan 10 Year Bond	2.60%	2.65%	▼ (4.8bps)

Source: Investing.com, Bloomberg, AIB AXYS Research

- Bond yields broadly closed lower during the week. In the US, the 10-year Treasury yield eased by 11.6 bps to settle at 4.37% on Friday. During the week, PCE inflation data showed prices rising 0.4% month-on-month, slightly below the market consensus of 0.5%. On a positive note, oil prices, which have been a key driver of inflation, continued to decline, with WTI crude oil futures falling 9.52% w/w to close the week at USD 69.23 per barrel. This marked another week of declines, supported by the reopening of the Strait of Hormuz. The market is now assessing how inflation will evolve as pressure from energy prices continues to ease. Currently, investors are pricing in at least one rate hike in 2026.
- In Europe, the UK 10-year gilt yield fell by 10.9 bps to 4.74%. UK PMI data continued to point to sluggish economic growth, dampening expectations of further rate hikes by the Bank of England. Meanwhile, Germany's 10-year Bund yield eased by 13.6 bps to 2.85%, as markets continued to scale back expectations for aggressive monetary tightening amid expectations for a gradual cooling of inflation.
- In Asia, Japan's 10-year government bond yield declined by 4.8 bps to 2.60%. Despite the relief provided by lower oil prices and the resulting expectation of softer inflation in the near term, the Bank of Japan continues to maintain a relatively hawkish stance.

• Currencies:

Currency	Current	Previous	w/w change
AUD/USD	0.6899	0.7013	▼ (163bps)
USD/JPY	161.760	161.310	▲ 28bps
GBP/USD	1.320	1.323	▼ (20bps)
EUR/USD	1.138	1.147	▼ (75bps)
US Dollar Index	101.13	100.62	▲ 51bps

Source: Investing.com AIB AXYS Research

- The US dollar extended its winning streak, as evidenced by the US Dollar Index, which rose 0.51% to 101.13 from 100.62. Notably, the dollar could have closed even higher were it not for the losses recorded on Friday.
- The dollar continued to receive support from increased expectations of monetary tightening in the US, as the new Fed Chair, Kevin Warsh, signaled a commitment to bringing inflation below target.
- Additionally, the volatility that gripped the market last week, driven by broad-based sell-offs, particularly in technology stocks, boosted demand for safe-haven assets. The Australian dollar posted the steepest decline among major currencies, with the AUD/USD pair closing the week at 0.6899.

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